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№. 28

COLLECTION

INVESTORS

Financing an Income Property

Down payment, CMHC and financing structure.



2026 EDITION

BEFORE YOU BEGIN

Important notice

This guide is provided for informational and educational purposes only. It presents general information about real estate in Quebec and does not constitute personalized real estate, legal, tax or financial advice. Every real estate situation is different, and you should consult the appropriate professionals before making a decision about a transaction.

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COLLECTION INVESTORS · GUIDE NO. 28

Financing an Income Property

Down payment, CMHC and structure – get the right rental financing

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The financing of an income property follows different rules from those of a house. Down payment, taking into account rents, loan insurance: well planned, your financing can make or break the profitability of your project.

This guide covers the main rules (1 to 4 homes vs. 5 and more), the contribution, the role of loan insurance programs and the importance of good planning.

2026 edition note: rules and rates are changing; always confirm with a mortgage broker. Each chapter ends with a lined “My Notes” page.

Financing an income property does not follow the same rules as a residence. This guide clarifies the distinction 1-4 vs 5+ homes, the down payment, the role of loan insurers and how the lender qualifies your file.

Objective: set up solid financing that protects your profitability, rather than chasing the lowest rate.

CHAPTER

1 to 4 dwellings vs 5 dwellings and more

> *Understand the key dividing line in rental financing.*

The fundamental distinction: buildings with 1 to 4 housing units are financed according to rules close to residential, while buildings with 5 housing units and more are considered “commercial” (multiple housing units), with different rules, capital outlay and analysis, focused on the profitability of the building.

- 1 to 4 homes: lower down payment, especially if you occupy a home.
- 5 units and more: higher down payment, analysis based on the building's RNE.
- The border of the 5 dwellings changes your setup a lot.

The key dividing line: 1 to 4 dwellings (rules close to residential, lower down payment if you occupy) vs 5 dwellings and more (commercial financing, higher down payment, analysis based on the income of the building). This distinction changes your entire edit.

> EMILIE'S ADVICE
>
> *The move from 4 to 5 housing units changes everything in terms of financing. If you're just starting out, a building with 4 units or less is often the most accessible entry point.*

CHAPTER

Down payment and occupancy

> *Optimize the contribution according to your project.*

For a building of 1 to 4 units that you occupy, the down payment can be significantly reduced (see the owner-occupant guide). For an unoccupied rental property, the required contribution is generally higher.

- Occupant (1-4 dwellings): reduced contribution, better conditions.
- Non-occupying investor: greater contribution.
- A portion of the rent can help qualify your loan.

Optimize your contribution according to your project: occupying a 1-4 unit accommodation opens up advantageous rules; a purely rental property requires more. The lender also retains a portion of the rent in your capacity - a lever to be calculated precisely.

> EMILIE'S ADVICE
>
> *If your situation allows it, occupying accommodation in your first plex unlocks much more advantageous financing. This is often the best springboard to start.*

CHAPTER

Loan insurance and taking into account rents

> *Understand the role of insurance programs.*

Loan insurers (CMHC and others) offer multi-housing programs that can allow for a reduced down payment and better conditions, for a premium. The rents of the building are taken into account in the analysis, to varying degrees.

These programs and their criteria are evolving: a mortgage broker specializing in income properties is your best ally in identifying the best option.

Loan insurers (CMHC and others) offer programs that can reduce the down payment or improve the conditions, particularly for rentals. They take into account rents according to precise rules. A specialized mortgage broker knows these programs and their criteria.

> EMILIE'S ADVICE
>
> *Work with a mortgage broker familiar with rentals. The right insurance program or lender can turn a borderline project into a profitable one.*

CHAPTER

Build a solid assembly

> *Assemble financing that protects profitability.*

- Compare several lenders (rates AND conditions, penalties, flexibility).
- Provide a margin: if rates rise at renewal, does the project hold up?
- Keep cash for unforeseen events and work.
- Think about what's next: a good arrangement makes the next purchase (refinancing) easier.

Financing is not just a formality: it is a strategic lever that determines your cash flow and your ability to grow.

A solid arrangement compares several lenders (rates AND conditions), provides a reserve, and does not bet everything on an optimistic scenario. The best rate with rigid conditions can be expensive at the wrong time: think penalties, portability and accelerated repayments.

> EMILIE'S ADVICE
>
> *Don't just choose the lowest rate: think about flexibility and the ability to refinance. Your first montage should open the door to the second building.*

CHAPTER

Qualification: ratios and stress test

> *Understand how the lender evaluates you.*

Obtaining financing depends on how the lender **evaluates your file** :

- **Debt ratios** : proportion of your income devoted to debts.
- **Taking into account rents** : only part is often retained.
- **Resistance test** : your capacity is calculated at a rate higher than the actual rate, to verify that you would sustain an increase.

Knowing these rules in advance avoids refusals and helps you build a solid case.

The lender evaluates you via debt ratios, partial consideration of rents, and a stress test (qualification at a higher rate). Knowing these rules in advance avoids refusals: meet a broker specializing in rentals BEFORE shopping.

> EMILIE'S ADVICE
>
> *Meet a mortgage broker specializing in rental real estate BEFORE you shop. It will tell you exactly how much you can borrow and how rents are taken into account - it targets your searches.*

IN PRACTICE

Action plan

> *Your next steps, concretely.*

This week

1. Determine the number of accommodations and my status (occupant or not).
2. Meet a mortgage broker specializing in rentals.

Within 30 days

1. Compare programs and lenders (rates and conditions).
2. Structure a package with a margin for rate increases.

Then

1. Secure financing that protects cash flow and growth.

Before you shop

1. Meet a mortgage broker specializing in rental real estate.
2. Have my capacity calculated (rent included) and compare rates AND conditions.

REFERENCES

Resources & glossary

- 1-4 housing units: financing regime close to residential.
- 5 dwellings and more: “commercial” multi-dwelling, analysis by the RNE.
- Contribution / capital outlay: lower if occupant, higher if pure investor.
- Multi-housing loan insurance: programs (CMHC, etc.) with reduced contribution, with premium.
- Refinancing: leverage to finance the next purchase.

- 1-4 housing units: category close to residential, more flexible financing.
- 5 homes and more: commercial financing, based on income.
- Loan insurance: program reducing the down payment or improving the conditions.
- Strength test: qualification at a rate higher than the actual rate.
- Taking into account rents: share of income retained by the lender.

GO FURTHER

Quiz - test yourself

1. The key dividing line in rental financing is:

A) 2 dwellings

B) 5 dwellings or more (commercial)

C) 10 housing units

D) 1 accommodation

2. Occupy accommodation in a plex of 1-4:

A) Increases intake

B) Reduces intake and improves conditions

C) Is prohibited

D) Has no effect

3. For a building with 5+ housing units, the analysis is mainly based on:

A) Your salary alone

B) The profitability (RNE) of the building

C) Color

D) Nothing

4. Loan insurers (CMHC, etc.) can allow:

A) No funding

B) Reduced contribution and better conditions, for a premium

C) To pay less taxes

D) To avoid the notary

5. The rents for the building:

A) Are ignored

B) Are taken into account in the analysis

C) Double the contribution

D) Replace the loan

6. The best ally of rental financing is:

A) Person

B) A mortgage broker specializing in rentals

C) The neighbor

D) The inspector

7. A good assembly must include:

A) No unforeseen circumstances

B) A margin if rates rise at renewal

C) Zero liquidity

D) The lowest rate only

8. The funding is:

A) A simple formality

B) A strategic lever for cash flow and growth

C) No impact

D) Decided by the seller

Answers

1. B - 1-4 residential, 5+ commercial (chap. 1).

2. B - Occupant status is advantageous (chap. 2).

3. B - Commercial approach (chap. 1).

4. B - Multi-housing programs (chap. 3).

5. B - To varying degrees (chap. 3).

6. B - It identifies the best option (chap. 3).

7. B - We protect the cash flow (chap. 4).

8. B - It determines profitability and what happens next (chap. 4).

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You now have the right keys in hand.

Every real estate journey is different.

If you would like to go further,
I would be happy to discuss
your project with you.



Make informed decisions.
Choose with confidence.
Live without regrets.
See you soon,
Emilie ☺

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